HARBOURVIEW RETAIL GROUP

Annual Operations Report FY2025

Financial year 1 January to 31 December 2025

Prepared by Group Strategy & Finance for the Board of Directors. Internal and confidential.

Harbourview Retail Group is a fictional company. All names, figures and events in this document are invented for training purposes.

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1. Message from the Group CEO

FY2025 was a record year for Harbourview. Revenue grew 12% to RM480 million, driven by strong trading in our supermarkets and the continued rise of our online business, which is now profitable. We opened 14 new stores, bringing our network to 196 stores across Peninsular Malaysia.

The year was not without challenges. Higher energy, wage and supplier costs put pressure on margins, and competition from discount chains intensified in the second half. We responded with targeted price investment on 1,200 everyday items, which protected customer traffic but reduced gross margin.

Our people remain our greatest strength. We invested more in training than in any previous year, and I thank every colleague for their commitment during a demanding year.

Looking ahead, we will continue to expand our store network, grow online, and bring our new Shah Alam distribution centre to full capacity. I am confident FY2026 will be another year of growth.

Daniel Lim, Group Chief Executive Officer (fictional)

2. Financial highlights

All figures are in RM million unless stated. FY2024 figures are restated for comparison.

Measure	FY2024	FY2025
Revenue	436.0	480.0
Gross margin (%)	33.0	31.2
Operating profit	41.0	38.4
Net profit after tax	29.8	26.1
Capital expenditure	15.0	22.0
Cash at year end	61.0	54.0
Like-for-like sales growth (%)	3.8	2.1

Revenue growth came mainly from new stores and online. Like-for-like sales in existing stores grew 2.1%, below the 3.0% budget. Gross margin fell 1.8 percentage points, reflecting price investment and higher supplier costs. Operating profit fell despite higher revenue.

Capital expenditure rose to RM22.0 million, mainly for new stores and the Shah Alam distribution centre. Cash at year end fell to RM54.0 million. The Board approved a final dividend of 4.0 sen per share, unchanged from FY2024.

2.1 Cost pressures

Electricity tariffs rose 9% from July 2025. The minimum wage adjustment increased store payroll costs by about RM5.5 million. Supplier price increases averaged 4.5% across fresh and packaged goods. Overtime costs in distribution rose sharply in the fourth quarter (see Section 4.3).

3. Segment performance

The Group reports three segments. Operating profit is shown after allocated central costs.

Segment	Revenue FY2024	Revenue FY2025	Growth (%)	Operating profit FY2025
Supermarkets	318.0	331.0	4.1	36.9
Convenience stores	86.0	93.0	8.1	5.7
Online	32.0	56.0	75.0	(4.2)
Group	436.0	480.0	10.1	38.4

3.1 Supermarkets

Supermarkets remain the core of the Group, with 69% of revenue. Growth slowed in the second half as discount competitors opened near 11 of our stores. Fresh food sales grew 6%, while packaged groceries were flat.

3.2 Convenience stores

Convenience stores grew 8.1%, helped by nine new openings in office and transit locations. Ready-to-eat meals are now 22% of convenience sales.

3.3 Online

Online revenue grew 75% to RM56.0 million. The operating loss narrowed from RM7.9 million in FY2024 to RM4.2 million in FY2025. Average delivery cost per order fell from RM14.20 to RM11.60. Same-day delivery now covers the Klang Valley and Penang.

4. Stores, customers and supply chain

4.1 Store network

Store count	Number
Stores at 1 January 2025	182
New stores opened	14
Stores closed	3
Stores at 31 December 2025	193

Three underperforming supermarkets in Ipoh, Kuantan and Seremban were closed in the third quarter. New stores opened in FY2025 are trading 6% below their first-year sales plan on average.

4.2 Customers

Our Net Promoter Score fell from 41 to 36. Customer surveys point to product availability and queue times as the main concerns. Loyalty programme members grew from 1.1 million to 1.4 million and account for 58% of sales.

4.3 Supply chain

The new Shah Alam distribution centre was due to open in June 2025. It opened in November 2025, five months late, after delays in equipment installation, and is not yet at full capacity. The project finished RM6.0 million over its RM40.0 million budget. During the delay, the existing Klang warehouse operated above capacity, which has caused stock shortages and the overtime costs noted in Section 2.1.

Product availability on shelves averaged 93.5% against a target of 97%.

5. People

Measure	FY2024	FY2025
Total employees	6,850	7,420
Staff turnover (%)	24	29
Store manager turnover (%)	11	18
Training hours per employee	14	19
Employee engagement score (%)	68	63

Headcount grew with new stores and online fulfilment. Staff turnover rose to 29%, and store manager turnover rose to 18%. Exit interviews cite workload and competition for staff from new retailers. Engagement fell five points.

We launched a store manager development programme in September 2025, with 40 participants in its first intake.

6. Risks

The Board has identified the following principal risks for FY2026:

Risk	Description	Rating
Cost inflation	Energy, wage and supplier costs continue to rise	High
Competition	Discount chains expand near our stores	High
Cyber security	Attacks on online and payment systems	Medium
Regulation	Changes to food labelling and pricing rules	Low

7. Outlook for FY2026

For FY2026 the Group targets revenue of RM530 million and an improvement in operating margin. Our priorities are:

1. Open 20 new stores, mostly convenience formats in the Klang Valley.
2. Grow online revenue to RM80 million and reach break-even in the online segment.
3. Bring the Shah Alam distribution centre to full capacity and improve product availability to 97%.
4. Hold gross margin at FY2025 levels through better buying and own-brand growth.

Management will present a detailed FY2026 budget and capital plan to the Board in March 2026.

Approved for circulation to the Board of Directors, 20 February 2026.